



Annual Report & Accounts 2002

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Corporate Information

DIRECTORS

N Muriuki Mugwandia	-	Chairman
M N Davidson*	-	Managing Director
F M Mbiru		
F N Mwanzia		
A S M Ndegwa		
I Ochola-Wilson		
M L Somen		
G A Maina		
S J Caley*		

**British*

AUDIT COMMITTEE

F N Mwanzia	-	Chairman
F Mbiru		
A S M Ndegwa		

ADVANCES CREDIT COMMITTEE

F Mbiru	-	Chairman
F N Mwanzia		
A S M Ndegwa		
M L Somen		

SECRETARY

L Murage
NIC House, Masaba Road
P O Box 44599
Nairobi

REGISTERED OFFICE

NIC House
Masaba Road
P O Box 44599
Nairobi

REGISTRARS AND TRANSFER OFFICE

Barclays Advisory and Registrar Services Limited
1st Floor, Bank House, Moi Avenue
P O Box 30120
Nairobi

AUDITORS

Deloitte & Touche
"Kirungii", Ring Road, Westlands
P O Box 40092
Nairobi

Members of the Board



M N Davidson



N Muriuki Mugwandia



S J Caley



F M Mbiru



G A Maina



F N Mwanzia



A S M Ndegwa



M L Somen



J Ocholla-Wilson

Chairman's Report / Taarifa ya Mwenyekiti

I am pleased to present the annual report on the activities and performance of NIC Bank for the year ended 31st December 2002.

BUSINESS ENVIRONMENT

During the year the banking sector experienced generally depressed results compared to the previous year due to a combination of adverse factors including lack of economic growth, limited appetite for commercial borrowing, intense competition for market share, squeezed margins and weakening interest rates for liquid investment.

RESULTS

Despite these difficulties NIC Bank recorded strong profit before tax at Shs 340 m. Although this is a 10% drop on the previous years' performance, the results reflect success in our focussed efforts to diversify products and services and to grow the book even under the prevailing challenging business environment. In this regard non-interest income has grown to Shs 138 m or 31% over the previous year. Loans and advances to customers increased by over 11% above last year and deposits increased by 16%.

Operating costs have been contained at a reduced level compared with 2001.

DIVIDEND

The board is recommending a final dividend of Shs 1.40 per share which, together with the interim dividend of Shs 0.60, gives a total dividend of Shs 2.00 per share, an increase of 25% over the total of Shs 1.60 last year. The recommended total dividend of Shs 165 m represents 72% of profit after tax compared with Shs 131 m (51%) the previous year.

The board is confident that the strong reserves built up in the past can accommodate this generous payout and take account of the hard times being experienced by shareholders. The remaining reserves are more than adequate to meet increased statutory minimum share capital requirements during the next three years.

PRODUCTS AND SERVICES

As foreseen in my last years' statement, the bank has benefited from product diversification and electronic solutions. Electronic banking, particularly NIC Paynet and Tradenet have continued to generate greater demand by existing and potential customers. Furthermore, customers can now access details of our products through NIC Bank

Ninayo furaha kuwaletea ripoti hii ya kila mwaka ya matokeo na shughuli za benki ya NIC katika mwaka uliomalizikia Desemba 31, 2002.

MAZINGARA YA KIBIASHARA

Hapo mwakani, sekta ya benki ilikumbwa na hali duni ikilinganishwa na mwaka uliopita. Hali hii ni kutokana na mchanganyiko wa mambo mbalimbali yaliyodhuru sekta hii ikiwa ni pamoja na kutokuwa na ukuaji wa kutosha wa kiuchumi, ukosefu wa waombaji mikopo ya biashara kwa wingi, ushindani mkubwa na upungufu wa faida katika pesa zilizowekwa kwa biashara na uzotorotaji wa viwango vya vya riba kwa uwekaji rasilimali.

MATOKEO

Ingawa kulikuwa na matatizo haya yote, benki ya NIC ilitokea na kupata faida kubwa ya Shilingi milioni 340 kabla ya kufushwa ushuru. Ingawa hii ni asilimia 10 chini ya faida ya mwaka uliopita, matokeo haya yanaonyesha ushindi katika malengo ya mbinu zetu za kueneza bidhaa zetu na huduma na kukua hata katika mazingira haya magumu.

Katika hali hii, mapato yasiyo ya riba yaliongezeka mpaka shilingi milioni 138 ama asilimia 31 juu ya zile za mwaka uliopita. Mikopo kwa wateja iliongezeka kwa asilimia 11 zaidi ya mwaka uliopita hali akiba iliongezeka kwa kiasi cha asilimia 16.

Gharama ya kuendeleza shughuli za benki imepungua sana ikilinganishwa na mwaka wa 2001.

MGAWO

Halmashauri ya benki inaupendekeza mgawo wa mwisho wa shilingi moja na senti arobaini (Shs1.40) kwa kila hisa, ambayo pamoja na mgawo wa muda wa senti sitini (Shs 0.60) unakuwa shilingi mbili (Shs 2.00). Hili ni ongezeko la asilimia 25 ikilinganishwa na mgawo wa Shs1.60 mwaka uliopita. Jumla ya mgawo uliopendekezwa wa shilingi milioni 165 unawakilisha asilimia 72 ya faida baada ya ushuru ukilinganishwa na ile wa mwaka jana wa shilingi milioni 131 yaani asilimia 51.

Halmashauri ina uhakika kwamba akiba imara iliyotengwa hapo awali itawezesha mgawo huu muno kulipwa na kuwapanguza jashu wenye hisa wakati huu mgunu. Akiba iliyobaki itatosha sana kuhakikisha kuwa fungu la rasilimali ya matakwa ya lazima ya matumizi yanoongezeka yanapatikana katika miaka mitatu ijayo.

website. The Insurance Premium Finance product introduced in 2001 continues to grow, enabling NIC to be recognised as the leader in this sector.

The next major initiative is to enhance customer service through the introduction of cash machines (Automatic Teller Machines) located at strategic sites starting in Nairobi.

INFORMATION TECHNOLOGY

We completed major new investment in a modern computer software system that has many features to enable the bank introduce a wide range of innovative products and services. The implementation of the new system involved six months of intensive staff training and trial runs before going live from November 2002.

The system is now fully implemented and our customers can access their accounts electronically and Internet banking will soon be available.

CREDIT RATINGS

The bank continues to enjoy favourable credit ratings from internationally recognised credit rating agencies.

COMMUNITY ACTIVITIES

Our participation and contribution to welfare and community projects was well spread across charities, health support, education and environmental conservation. The total financial support to these activities amounted to Shs 2.8 m, of which Shs 500,000 was donated to the Aberdare Forest Fund.



Nick Mugwandia, Chairman, and Mike Davidson, Managing Director, present a cheque worth KShs 500,000 to Wilfred Kiboro, CEO Nation Media as a contribution towards the Nation Aberdare Forest Fund.

BIDHAA NA HUDUMA

Kama nilivyotabiri katika taarifa yangu ya mwaka uliopita, benki yetu imefaidika kutokana na kuendeleza na kuongeza bidhaa na pia kutumia mitambo ya umeme katika kazi za benki. Utumiaji wa mitambo ya umeme, hasa katika NIC Paynet (njia ya kulipia mishahara) na Tradenet (njia ya kulipia madai ya kiblashara) unaongezeka sana kwa wateja tulionao na wanaotaka kujijumuisha nasi. Hali kadhalika, wateja sasa wanaweza kujua bidhaa zetu kupitia kwa mtandao wa benki yetu yaani website.

Bima inayojulikana kama Insurance Premium Finance, iliyoanzishwa mwaka wa 2001, inazidi kukua huku ikiwezesha benki yetu itambulike kama kiongozi wa hima ya aina hii.

Katika mbinu zetu za kuendeleza huduma bora zaidi kwa wateja wetu, mpango mkubwa tunaotaka kuanzisha ni ule wa kuweka mashini za mitambo ya kompiuta za kuweka na kutoa pesa yaani (Automated Teller Machines) katika kona mbali mbali nchini tukianza Nairobi.

TEKNOLOJIA YA HABARI

Tuliumaliza mradi mpya mkubwa mfumo mpya wa kompiuta ambao una maumbile mengi yatakayoweza benki yetu kutoa bidhaa kamhabe na huduma za kila aina. Kutekelezwa kwa mfumo kulihisisha mafundisho kamilifu kwa wafanya kazi wetu na majiribio kadha kabla ya kuanza kutumika kabisa mwezi wa Novemba, 2002.

Mfumo huu wa kompiuta umetekezwa kikamilifu na wateja wetu wanaweza kuweka na kutoa fedha zao kutumia mitambo ya umeme. Shughuli za benki pia zinawezekana kupitia kwa mtandao wa internet punde si punde.

HALI YA UWEZO WA KUKOPESHA NA KUKOPESHWA

Benki yetu inazidi kupata sifa kubwa kutoka kwa maajenti wa kimataifa wanaosifika kwa uchunguzi wao wa hali ya ukakamavu wa vile benki zinavyoweza kukopa na kukopeshwa.

SHUGHULI ZA KIJAMII

Ushiriki wetu katika kuchangia kwa maisha na miradi ya jamii ilienea katika miradi mbali mbali ya kujitolea kama vile kiafya, kielimu na ulindanji wa mazingira. Jumla ya pesa benki yetu ilitoa kuisaidia miradi hii, ilikuwa shilingi milioni mbili na laki nane (Shs 2.8 million), na ambazo shilingi nusu milioni zilipatiwa mradi wa kuweka na ama seng'enge stima msitu wa Aberdare (Aberdare Forest Fund).

CORPORATE GOVERNANCE

The board strives to enforce best practice in Corporate Governance and has already embarked on a planned adoption of the CMA guidelines. Further details of this are contained elsewhere in this statement.

BOARD CHANGES

Appointments during the year include two additional directors, George Adams Maina on 1st June 2002 as a Non-executive Director and Stephen John Caley on 1st January 2003 as an Executive Director. They bring to the Board a wealth of experience and expertise and I welcome them to the team.

R.A. Bird who rendered a long and distinguished service to the bank resigned on 25th June 2002. I thank him for his contribution and wish him the very best in his future endeavours.

OUTLOOK

We see a favourable scenario for economic recovery, arising from the new Government's initiatives to create an enabling environment, including restoration of integrity and competence of public institutions and restoring healthy relations with the world Bank/IMF and other bilateral benefactors.

We aim to capitalise on the new favourable scenario. In this regard the capacity of our corporate team has been strengthened to focus on targeting quality business. Good prospects exist for increasing further our unfunded income as a result of the recently launched products. The quality of our service delivery is expected to improve from optimum use of our new IT system.

A major concern for 2003 is the potential adverse impact on Kenya of the Iraq war particularly on the cost of oil, security and tourism.

TRIBUTE

I want to pay tribute to the late Robert Ridley, Founder Chairman of NIC Bank who passed away peacefully in January 2003 at the age of 98 years. Mr Ridley is credited with establishing and nurturing NIC Bank during its formative years and laying the sound foundations that have led to the continuing success of the bank.

MWONGOZO NA USHIRIKIANO WA PAMOJA WA KAMPUNI

Halmashauri ya benki yetu hujaribu kutekeleza maongozi ya pamoja ambayo yanashirikisha kila mfanyi kazi, mteja, mwanahisa na wahusika wote katika biashara yetu. Katika jambo hili benki yetu imeanza kufuata maongozo ya CMA. Habari zaidi kuhusiana na jambo hili ziko kwingeneku katika taarifa hii.

MABADILIKO YA HALMASHAURI YA WAKURUGENZI

Uteuzi kwa vyeo mbali mbali katika mwaka tunaozungumzia ni pamoja na wa wakurugenzi wawili, Bw. George Adams Maina na Bw. Stephen John Caley. Bw. Maina aliteuliwa mnamo Juni 1, 2002 kama mkurugenzi wa kawaida hali Bw. Caley aliteuliwa mnamo tarehe Januari 1, 2003 kama mkurugenzi mtendaji. Wote wawili wanao ujuzi barabara na imara na ninawakaribisha katika timu yetu.

Bw. R.A. Bird, ambaye alipatia benki hii huduma ya kipekee kwa muda mrefu alijiuzulu tarehe Juni 25, 2002. Namshukuru kwa mchango wake kwa kampuni hii na ninamtakia kila la heri katika shughuli zake za usoni.

UTABIRI

Siku za usoni zaonekana zenye matumaini makubwa katika ufufuaji wa uchumi, hasa kulingana na kujitolea kwa serikali mpya kuona kuna mazingira yafaa, pamoja na kurudisha hadhi, heshima na ushindani mzuri wa mashirika ya umma na pia kurudisha uhusiano mwafaka na benki ya ulimwengu (World Bank), Shirika la Fedha Duniani na mashirika (IMF) mengine yanayotusaidia kifedha.

Tunatarajia kutumia fursa hii ya mwamko wa kupendeza na kutokana na hali hii uwezo wa timu yetu ya ushirikiano hizi na wa pamoja umepatiwa nguvu zaidi ili kuangazia macho kwenye mbinu zitakazotea benki biashara ya hali ya juu.

Matumaini mazuri yamo ya kuoengezea zaidi mapato yasiyogharamiwa kutokana na bidhaa tulizoanzisha juu. Hali ya ubora wa huduma zetu zinatarajiwa kuinuka kutokana na utumiaji wa kabisa wa mfumo wetu mpya wa teknolojia ya habari.

Jambo la kutia wasiwasi mwingi katika mwaka wa 2003 ni vita vilivyo Iraq ambavyo vinaweza kudhoofisha hali ya kiuchumi hasa katika kuongezeka kwa bei ya mafuta, ukosefu wa usalama kamili, na pia kuharibika kwa sekta ya utalii.

APPRECIATION

I wish to thank our customers and depositors for their continued support and confidence over the years; the management and staff for their contribution to sustaining the performance of our business during a challenging year; and to my fellow directors for their guidance and support throughout the year.

N Muriuki Mugwandia

SIFA YA HESHIMA

Ningependa kumtunukia sifa ya heshima marehemu Bw. Robert Ridley, mwenyekiti mwanzilishi wa benki ya NIC aliyeaga dunia mwezi wa Januari mwaka huu akiwa na umri wa miaka 98. Bw. Ridley atakumbukwa kwa kuanzisha na kuipallia benki ya NIC wakati wa miaka yake ya mwanzo na kuweka msingi bora ambao umeiwezesha benki hii kuendelea kufaulu.

SHUKRANI

Ningependa kuwashukuru wateja wetu na wenye akiba kwa kuendelea kuwa nasi na kuonyesha imani nasi kwa miaka hii yote; wasimamizi na wafanyi kazi kwa mchango wao uliohakikisha uendelezi wa shughuli za biashara katika mwaka uliokuwa mgumu; na pia wakurugenzi wenzangu kwa mwongozo wao na kwa kuwa watu wa kutegemewa kwa mwaka huo wote.

N Muriuki Mugwandia



Geoffrey Griffins receives a cheque from Mike Davidson as contribution towards the Starche Boys Centre.

Corporate Governance

Mwongozo na Ushirikiano wa Pamoja wa Kampuni

We are pleased to present our first Corporate Governance Report as part of the Annual Report and Accounts for the financial year ended 31st December 2002.

By definition Corporate Governance is the process and structure used to direct and manage business affairs of the Company towards enhancing prosperity and corporate accounting with the ultimate objective of realising shareholder long-term value while taking into account the interest of other stakeholders.

The bank is well equipped with policies and organisational structures designed to deliver sound corporate governance. The bank's vision, mission statement and values capture the essence of this objective. The staff, management and board of directors subscribe to the vision and values of the bank, and thereby to the principles of good corporate governance.

BOARD OF DIRECTORS

The present directors of the bank are shown on page 2 of this report. With the exception of the Managing Director and the Corporate Business Director, the other seven board members are non-executive and more than one third are regarded as independent. The non-executive directors are all Kenyans, have an appropriate range of business expertise and are well respected in the business community.

Our two executive directors are expatriate staff with banking qualifications and successful former careers in banking within Africa and elsewhere.

In accordance with the Articles of Association, all the directors are required to submit themselves for re-election at least every three years. During the year, Mr. R A Bird resigned as a director. All members of the board are nominated on the basis of their quality of education, experience, skills and capacity to contribute. Their appointment requires Central Bank of Kenya approval according to current banking regulations.

In line with corporate governance guidelines, the Chairman has recently constituted a committee to review performance and effectiveness at board level.

Directors' emoluments and related party transactions are disclosed within the body of the accounts.

Tuna furaha kuwapatia ripoti yetu ya kwanza inayohusiana na mwongozo na ushirikiano wa pamoja wa kampuni kama sehemu ya ripoti ya hesabu ya mwaka uliomalizikia Desemba 31, 2002.

Kwa maelezo, Mwongozo na Ushirikiano wa Pamoja wa Kampuni ni njia inayotumika kutekeleza na kuandaa mambo ya kibiashara ya kampuni ili iweze kustawi na pia kuwa na hesabu bora ili kuwezesha benki kulenga shabaha yake ya kuridhisha matakwa ya muda mrefu ya wenye hisa huku pia ikiangalia matakwa ya wahusika wengine.

Benki imejiandaa vilivyo na mashauri na pia mipango yenye kuona kuwa kuna mwongozo na ushirikiano madhubuti wa pamoja. Maoni ya mbele, taarifa ya malengo ya benki yetu na yale yote tunayoyathamini yameonyesha umuhimu wa ishara yetu.

Wafanyi kazi, wasimamizi na halmashauri ya wakurugenzi wanatilia mkazo maono na yanayothaminiwa na benki ili kuwa na ushirikiano na mwongozo bora wa pamoja.

HALMASHAURI YA WAKURUGENZI

Wakurugenzi wa sasa wa benki wanaonyeshwa katika ukurasa 2 wa ripoti hii. Isipokuwa Mkurugenzi Mkuu na Mkurugenzi Mtendaji, wengine wasaba ni wakurugenzi wa kawaida na zaidi ya theluthi moja yao ni wenye maoni huru. Wakurugenzi hawa wa kawaida wote ni wakenya, ambao wana ujuzi mahsusi wa kibiashara na wanagheshimika sana katika jamii ya kibiashara.

Wakurugenzi wetu wawili watendaji ni wa kutoka nje ya nchi wanao ujuzi mwingi na waliotafuta katika masomo na kazi za benki katika bara la Afrika na kwingineko. Kulingana na sheria za kuandikisha kampuni, wakurugenzi wote wanatakiwa kushiriki katika uchaguzi kila mtaka mitatu. Katika mwaka uliopita, Bw. R.A. Bird alijiuzulu kama mkurugenzi.

Wanachama wote wa halmashauri wanateuliwa kulingana na masomo yao, ujuzi, na uwezo wa kuchangia kustawi kwa benki. Kuteuliwa kwao kunahitaji njhosa kutoka kwa Benki Kuu ya Kenya kulingana na maongozi ya sekta ya benki. Kufuatia mwongozo na ushirikiano wa pamoja wa kampuni, mwenyekiti wetu juzi alifunda kamati ya kuchunguza vile benki imeendelezwa na kama imetimilia malengo yake katika ngazi ya halmashauri ya wakurugenzi.

Malipo ya wakurugenzi na marupupu mengine yameonyeshwa kwenye taarifa ya hesabu.

RESPONSIBILITIES

The full Board of Directors meets every two months and regularly holds strategic planning sessions with members of the management staff. To enable the Board to function effectively in the discharge of its responsibilities, the directors have access to all relevant information. And they acknowledge their responsibility as set out on page 16 for the maintenance and implementation of the bank's financial control systems.

COMMITTEES OF THE BOARD

The Board has constituted the Audit Committee, the Advances Credit Committee and the Human Resources and Nominating Committee. These are chaired by non-executive directors and are attended by at least three non-executive directors and the Managing Director. Management attend on invitation.

MANAGEMENT

The management, led by the Managing Director, enjoys delegated responsibilities, which are articulated in Duties and Authorities for the management of the bank. In broad terms, the duties and authorities address the day-to-day running, internal and statutory reporting requirements. There are a number of key management committees that meet regularly to review issues that affect the bank, ensure adherence to company policies and procedures, and compliance with statutory requirements. These Committees include Executive Committee, Asset & Liabilities Committee, Risk Management and Information Technology.

SHAREHOLDERS

Share Registrar services are outsourced and are managed by Barclays Advisory and Registrar Services. Shareholders have direct access to the company or the company's registrars and we respond to numerous letters from them on a wide range of issues. Shareholders receive the annual report and accounts each year in advance and are entitled to attend the Annual General Meeting. In addition, financial information is published quarterly in the local press in accordance with the Central Bank of Kenya reporting requirements.

Information on history, performance and strategic direction is already available to the shareholders through the annual reports. In addition, access to the bank's website will afford shareholders further information on the company.

MAMLAKA YA WAKURUGENZI.

Halmashauri yote ya wakurugenzi hukutana kila baada ya miezi miwili na mara kwa mara hufanya mikutano ya kupanga kazi na wafanyi kazi wa ngazi za juu. Ili kuiwezesha halmashauri kufanya kazi ipaswavyo katika madaraka yake, wakurugenzi wako na ruhusa ya kupata habari zote wanazozihitaji. Ili kuhakikisha kuwa utaratibu wa kulinda fedha umesimamiwa na kutelekezwa ipaswavyo, wakurugenzi hutakiwa kukuballana kuhusu mamlaka yao kama ilivyoonyeshwa katika ukurasa wa 17.

KAMATI ZA HALMASHAURI

Halmashauri imeunda kamati za Ukaguzi wa Hesabu, Kamati za Kupeana Mikopo na Kamati ya Kujua hali ya wafanyi kazi na uteuzi. Hizi kamati zote zinasimamiwa na wakurugenzi wa kawaida na mikutano yake huhudhuriwa na wakurugenzi watatu wa kawaida au zaidi, na pia Mkurugenzi Mkuu. Mameneja wasimamizi pia huhudhuriwa kwa mwaliko.

USIMAMIZI

Meneja wasimamizi, wakiongozwa na Mkurugenzi Mkuu, wanaweza kutumia uwezo wao kama ilivyonakiliwa katika vifungu vya usimamizi wa benki vinavyoeleza kazi na uwezo wa kila mfanyi kazi.

Vifungu vinavyoeleza kazi na uwezo wa wafanyi kazi vinaongea kuhusu vile mambo ya kila siku katika benki yanatakiwa kufanywa, ikiwemo yale ya kindani na ya lazima yanayotakiwa kuripotiwa.

Kuna kamati kadhaa muhimu za meneja wasimamizi zinazokutana mara kwa mara kutafakari mambo yanayohusiana na benki na ambayo yanakumba benki, kuhakikisha kuwa mashauri, utaratibu, na sheria za kampuni zinafuatwa. Kamati hizi ni pamoja na Kamati Kuu (Executive Committee), Kamati inayohusiana na mali na madeni ya kampuni (Assets and Liabilities), kamati ya teknolojia ya habari (Information Technology), na kamati ya kuhakikisha kuwa benki haihatarishi shughuli zake (Risk Management).

WENYE HISA

Huduma za kuandikisha hisa zinapatikana nje ya benki na zinasimamiwa na Barclays Advisory and Registrar Services. Mlango wa kampuni u wazi kwa wenye hisa ili kuuliza na kuhudumiwa kuhusiana na maswali ya hisa. Huwa tunajibu barua nyingi kutoka kwa wenye hisa wanaotaka kujua jambo hili au lile. Wenye hisa hupata ripoti ya mwaka na ya hesabu kila mwaka kabla ya mkutano mkuu na wana haki

The Annual General Meeting provides a forum for members to comment, ask questions and vote on financial results, appointment of directors, auditors among other normal and/or any special business. The Annual General Meeting is typically held in Nairobi, at a well known accessible venue to members following the requisite notice of the meeting.

PRINCIPAL SHAREHOLDERS

The first 10 major shareholders and their respective holdings as at 4th April, 2003 were as follows:-

Name	No. of shares
First Chartered Securities Ltd	13,068,491
Rivel Kenya Ltd	7,697,260
ICEA Investment Services Ltd	7,469,278
Livingstone Registrars Ltd	6,445,053
Duncan Nderitu Ndegwa	2,800,629
Saimar Ltd	2,614,467
UAP Provincial Insurance Co Ltd	1,452,327
Makimwa Consultants Ltd	1,000,000
Stanbic Nominees Kenya Ltd	858,588
Barclays (Kenya) Nominees Ltd	853,503

SHARE DISTRIBUTION SCHEDULE

Category	No. of Shareholders	No. of Shares
1-1,000 shares	14,741	6,826,129
1,001-5,000 shares	2,699	6,252,511
5,001-10,000 shares	380	2,769,045
10,001-100,000 shares	413	11,264,920
100,001-500,000 shares	30	6,646,920
500,000 and over	17	48,655,026
Total	18,280	82,414,551

ya kuhudhuria mkutano huo. Mbali na hayo, habari kuhusu mambo ya kifedha yanachapishwa kila baada ya miezi mitatu kwa mwaka, katika magazeti ya humu nchini kulingana na matakwa ya Benki Kuu ya Kenya.

Habari kuhusu historia ya benki na inavyoendelea na pia mwelekeo wake iko tayari kwa wenye hisa katika ripoti za kila mwaka. Pia, wenye hisa wanaweza kupata habari zaidi za kampuni katika mtandao wake wa website. Mkutano Mkuu wa Mwaka hupatia wanachama nafasi nzuri ya kuyauliza maswali, kuyapigia kura matokeo ya kifedha, kuwachagua wakurugenzi, na kuhusika katika uteuzi wa wakaguzi wa hesabu na biashara zingine.

Mkutano huu mkuu kwa kawaida huandaliwa katika Nairobi, mahali ambapo wanachama wanaweza kufika bila shida yoyote baada ya kupatiwa notisi.



Oscar Obuna, Debt Management Unit assists one of the children with her classwork at Missionary Charity Home - Kariobangi, during a recent visit by NIC Bank employees, where they presented foodstuff and clothing worth Kshs 100,000.

Senior Officials



*Standing: L. Murage, G. Mwangi, A. Gachukia
Seated: E. Kihara, M. Davidson*



*Standing: S. Caley, M. Swan, L. Njoroge, J. Wanyika
Seated: H. Gichira, P. Mwaniki*

Notice of Annual General Meeting

Tangazo la Mkutano Mkuu wa Mwaka

Notice is hereby given that the forty-third Annual General Meeting of the shareholders will be held at the Inter-Continental Hotel, Nairobi on Wednesday 21st May 2003 at 11: 00 a.m. for the following purposes:-

1. To receive and consider the Financial Statements for the year ended 31 December 2002 and the Directors' and Auditors' Reports thereon.
2. To confirm the payment of the interim dividend of 12% paid on 18 October 2002 and to approve the payment of a final dividend of 28 % on the paid-up capital of Shs.412,072,755.
3. To approve the payment of fees to the Directors for the year ended 31 December 2002.
4. To note that Deloitte & Touche will continue in office as the Auditors by virtue of section 159(2) of the Companies Act (Cap.486) subject to Central Bank of Kenya approval in accordance with section 24(I) of the Banking Act (Cap.488) and to authorise the directors to fix their remuneration.
5. To elect Directors
 - a) In accordance with Article 89 of the Company's Articles of Association, the following Directors who were appointed to the Board since the last Annual General Meeting, retire from office and, being eligible, offer themselves for re-election:
 - i) G A Maina
 - ii) S J Caley
 - b) In accordance with Articles 98, 99 and 100 of the Company's Articles of Association, the following directors retire by rotation and being eligible, offer themselves for re-election:-
 - i) F N Mwanza
 - ii) F M Mbiru
 - iii) M L Somen
6. SPECIAL BUSINESS

Amendment of the Company's Articles of Association.

As the Nairobi Stock Exchange moves into the implementation of the Central Depository System, listed companies need to amend their Articles of Association to embrace electronic records as evidence

Inaafiwa kwamba kikao cha arobaini na tatu cha Mkutano Mkuu wa Mwaka wa wenyehisa utaandaliwa ukumbi wa Inter-Continental Hotel, Nairobi Jumatano tarehe 21 Mei 2003, saa tana asubuhi kwa madhumuni yafuatayo:

1. Kupokea na kukariri Taarifa za Fedha kwa mwaka uliomalizikia Desemba 31, 2002 na taarifa za Wakurugenzi na Wakaguzi hesabu zilizoko hapo.
2. Kuthibitisha malipo ya mgawo wa muda wa asilimia 12 uliolipwa tarehe 18 Oktoba 2002 na kuidhinisha malipo ya mgawo wa mwisho wa asilimia 28 kwenye rasilimali iliyolipiwa ya Sh 412,072,755.
3. Kuidhinisha marupurupu ya Wakurugenzi kwa mwaka uliomalizikia Desemba 31, 2002.
4. Kuthibitisha kwamba kampuni ya Deloitte & Touche wataendelea na wadhifa wa ukaguzi hesabu kwa jinsi ya Fungu la 159(2) la Kanuni za Makampuni (Sehemu ya 486) na Kibali cha Benki Kuu ya Kenya kuambatana na Fungu la 24(1) la Kanuni za Mabenki (Sehemu ya 488) na kuwaidhinisha Wakurugenzi kupanga marupurupu yao.
5. Kuwachagua Wakurugenzi:
 - (a) Kuambatana na Ibara 89 ya sheria za ushirikishwaji, wakurugenzi wafuatao waliujiunga kwa halmashauri tangu mkutano wa mwaka uliopita, wastaafu na, kwa sababu wafaa, wamekubali kufikiwa kuchaguliwa kwa wakurugenzi:-
 - i) G A Maina
 - ii) S J Caley
 - (b) Kuambatana na Ibara za 98,99 na 100 za Sheria za Kushirikishwa Kampuni, Wakurugenzi wafuatao wanastaafu kwa zamu na kwa kuwa wanastahili, wamejitolea kuchaguliwa tena:
 - i) A S M Ndegwa
 - ii) I Ochola-Wilson
 - iii) M N Davidson
6. SHUGHULI MAALUM

Sihihisho la Nyaraka za Uandikishwaji.

- (a) Huku Soko la Hisa la Nairobi likikaribia kuutekeleza Mtindo wa uwekaji wa kati - "Central Depository System" makampuni yaliyo sajiliwa yatahitajika

of ownership in compliance with the Central Depositories Act 2000.

It is therefore proposed that the Articles of Association be amended by insertion of the following Article:

45A The provisions of the Central Depositories Act 2000 as amended or modified from time to time shall apply to the Company to the extent that any securities of the Company are in part or in whole immobilised or dematerialised or are required by the regulations or rules issued under the Central Depositories Act to be immobilised or dematerialised in part or in whole, as the case may be. Any provisions of these Articles that are inconsistent with the Central Depositories Act or any regulations or rules issued or made pursuant thereto shall be deemed to be modified to the extent of such inconsistencies in their application to such securities. For the purposes of these Articles, the expressions securities, immobilisation and dematerialization shall be construed in the same way as they are construed in the Central Depositories Act.

45B Where any securities of the Company are forfeited pursuant to these Articles of Association after being immobilised or dematerialised, the Company shall be entitled to transfer such securities to a securities account designated by the Board for this purpose.

BY ORDER OF THE BOARD

L. Murage
Secretary
P. O. Box 44599 Nairobi.

31 March 2003

Note: A member entitled to attend and vote is entitled to appoint a proxy to attend and vote on his/her behalf. Such proxy need not be a member of the Company. To be valid, a form of proxy which is provided with this report, must be deposited at the Registered Office of the Company not less than 24 hours before the appointed time of the Meeting.

kuzirekebisha Ibara zao za Uandikishwaji ili kuaifiki nyaraka za umeme kama Ushahidi wa urithi kuambatana na Kanuni ya Uwekaji wa Kati ya mwaka 2000

Kwa hivyo inapendekezwa kwamba Ibara za Kuandikishwa Kampuni irekebishiwe kwa kuongeza Ibara zifuatazo:

45A Mahitaji ya Kanuni ya Uwekaji wa Kati ya mwaka 2000 kama ilivyo rekebishwa au kubadilishwa kutoka muda hadi muda itahusika kwenye kampuni kwa kiwango kwamba dhamana zozote za Kampuni ni baadhi au zinatumika kwa jumla au kama inavyo hitajika kwa masharti au kudhoofishwa au sheria zilizotolewa chini ya Kanuni ya Uwekaji wa Kati ya mwaka wa 2000 au kudhoofishwa kwa kiasi au kwa jumla, jinsi inavyostahili. Mahitaji yote ya Ibara hizi ambayo yamehitilafiana na Kanuni ya Uwekaji wa Kati ya mwaka wa 2000 au masharti au sheria zilizotolewa au kuundwa kuambatana nazo zitachukuliwa kwamba zimebadilishwa kwa kiwango cha kuhitilafiana hivyo katika matumizi yake kwenye dhamana hizo. Kwa minajili ya Ibara hizi za uandikishwaji uvunjwaji wake utaeleweka kwa namba hiyo hiyo inavyo eleweka kwenye Kanuni ya Uwekaji wa Kati ya mwaka wa 2000.

45B Ambapo dhamana zozote za kampuni zitapotea kufuatana na Ibara hizi za uandikishwaji baada ya tarehe ya kuvunjwa au kuondolewa muundo, Kampuni itastahili kupeleka dhamana hizo kwenye akaunti ya dhamana iliyoungwa na wakurugenzi kwa madhumuni haya.

KWA AMRI YA HALMASHAURI

L. Murage
Katibu
S.L.P. 44599
Nairobi

31 Machi 2003

Fahamu: Mwanachama anayestahili kuhudhuria na kupiga kura anapeza kumteua muwakilishi wa kuhudhuria na kupiga kura kwa njaba yake. Si lazima muwakilishi huyo awe mwanachama wa kampuni. Ili ikubaliwe, fomu ya uwakilishi iliyoko kwenye ripoti hii, ni lazima ipelekiwe kwenye Afisi Iliyuandikishwa ya Kampuni siku chini ya masaa 24 kabla ya wakati uliopangwa wa Mkutano.

Report of the Directors

The directors have pleasure in presenting their report and the audited financial statements for the year ended 31 December 2002.

ACTIVITIES

The principal activities of the bank, which is licensed under the Banking Act, are the provision of banking, financial and related services.

RESULTS

	Sh'000
Profit before taxation	340,224
Taxation thereon	111,089
Profit after taxation	229,135
Dividends	164,829
Retained profit for the year	64,306

DIVIDENDS

An interim dividend of Sh 0.60 per share amounting to Sh 49,448,731 was paid to shareholders on 18 October 2002.

The directors recommend a final dividend of Sh 1.40 per share amounting to Sh 115,380,371, which, together with the interim dividend, represents 40% on the issued share capital for the year ended 31 December 2002.

DIRECTORS

The present members of the Board of Directors are shown on page 2.

R A Bird resigned on 25 June 2002.

In accordance with articles 89 of the Articles of Association, G A Maina and S J Caley were appointed directors on 1 June 2002 and 1 January 2003 respectively retire from office and, being eligible, offer themselves for re-election.

In accordance with articles 98, 99 and 100 of the Articles of Association, F N Mwanza, F M Mbiru and M L Somen retire by rotation and, being eligible, offer themselves for re-election.

AUDITORS

Deloitte & Touche, having expressed their willingness, will continue in office in accordance with section 159 (2) of the Companies Act and subject to section 24(1) of the Banking Act.

BY ORDER OF THE BOARD

L Murage

Secretary

Nairobi

24 February 2003

Taarifa ya Wakurugenzi

Wakurugenzi wana furaha ya kuwasilisha taarifa yao na ya hesabu zilizokaguliwa kwa mwaka uliomalizika tarehe Desemba 31, 2002.

SHUGHULI

Shughuli muhimu za benki, ambayo imeidhinishwa chini ya Kanuni za Mabenki, ni utoaji huduma za kibenki, kifedha na mambo yanayohusiana.

MATOKEO	Sh '000
Mapato kabla ushuru	340,224
Ushuru	111,089
Faida baada ushuru	229,135
Mgawo	164,829
Faida iliyohifadhiwa kwa mwaka	64,306

MGAWO

Mgawo wa muda wa Sh 0.60 kwa hisa ukijumlisha Sh 49,448,731 ulilipwa wenyehisa tarehe 18 Oktoba, 2002.

Wakurugenzi wanapendekeza mgawo wa mwisho wa Sh 1.40 kwa hisa, ukijumlisha Sh 115,380,371 ambao pamoja na mgawo wa muda, unawasilisha asilimia 40 kwenye rasilimali ya hisa zilizotolewa kwa mwaka ufiioishia Desemba 31, 2002.

WAKURUGENZI

Wanachama wa sasa wa Halmashauri ya Wakurugenzi wameonyeshwa kwenye ukurasa wa 2.

R A Bird alistaafu kama mkurugenzi tarehe 25 Juni 2002.

Kuambatana na Ibara 89 ya sheria za ushirikishaji, G A Maina na S J Caley waliochaguliwa kama wakurugenzi tarehe 1 Juni, 2002 na 1 Januari 2003 wastaafu na, kwa sababu wafaa, wamekubali kujirikiwa kuchaguliwa kama wakurugenzi.

Kuambatana na Ibara ya 98, 99 and 100 ya Sheria za Ushirikishwaji, F N Mwanzia, F M Mbiru na M L Somen wanastaafu kwa zamu na kwa kuwa bado wanastahili, wamejitolea kuchaguliwa tena.

WAKAGUZI HESABU

Deloitte & Touche wataendelea na wadhifa kuambatana na Sehemu ya 159 (2) ya Kanuni za Makampuni na kwa sharti ya Sehemu ya 24 (1) ya Kanuni za Mabenki.

KWA AMRI YA HALMASHAURI

L Murage

Katibu

Nairobi

24 Februari 2003

Statement of Directors' Responsibilities

The Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the bank as at the end of the financial year and of the operating results of the bank for that year. It also requires the directors to ensure the bank keeps proper accounting records which disclose with reasonable accuracy at any time the financial position of the bank. They are also responsible for safeguarding the assets of the bank.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the bank and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the bank will not remain a going concern for at least the next twelve months from the date of this statement.

N Muriuki Mugwandia
Director

M N Davidson
Director

24 February 2003



George Mwangi, Debt Management Unit, presents a cheque worth Kshs 100,000 and foodstuff to Ongata Rongai Christian Women Works of Charity Rehabilitation Centre during a visit by the bank's employees to the home last November.

Taarifa ya Mamlaka ya Wakurugenzi

Sheria ya makampuni inawahitaji wakurugenzi kuzitayarisha taarifa za hesabu ya fedha kila mwaka, zinazoonyesha hali kamili ya mambo katika benki kila mwisho wa mwaka. Sheria hii pia inahitaji wakurugenzi kuhakikisha kwamba benki inaweka rekodi mwafaka na zinazoonyesha hali ilivyo katika benki kila wakati. Wanawajibika pia kuilinda mali ya benki.

Wakurugenzi wanayakubali mamlaka kwa kila taarifa ya hesabu yoyote ya kila mwaka, ambayo imeandaliwa kulingana na maongozi na mbinu ya kihesabu zilizowekwa na zinazoambatana na kanuni za kimataifa za hesabu, na mahitaji ya Sheria ya Makampuni. Kulingana na maoni ya wakurugenzi, taarifa za hesabu ya fedha zinapatiana picha iliyo sawa kuhusiana na hali ya benki na matokeo ya vile inavyoendeshwa. Wakurugenzi pia wamekubali wajibu wa kuzihifadhi rekodi hizi za akaunti ambazo zinaweza kutumiwa katika kuandaa taarifa za makidiri ya fedha, na pia njia sawa za kuhakikisha usimamizi bora wa kindani wa fedha.

Kulingana na wakurugenzi hakuna tashwishi yoyote kuonyesha kuwa hali ya benki sio barabara kwa kipindi cha miezi mikumi na mbili ijayo kutokea tarehe ya taarifa hii.

N Muriuki Mugwandia
Mwenyekiti

M N Davidson
Mkurugenzi Mkuu

24 Februari 2003



Mike Swan, Edna Kihara and Sandie Moturi present a cheque to the Cerebral Palsy Society of Kenya.

Report of the Auditors

to the members of National Industrial Credit Bank Limited

Certified Public Accountants (Kenya)
"Kirungii" Ring Road, Westlands
P O Box 40092
Nairobi
Kenya

Telephone: + (254-2) 4441344/05-12
Facsimile: + (254-2) 4448966
Dropping Zone No. 92
E-mail: admin@deloitte.co.ke

**Deloitte
& Touche**

We have audited the financial statements on pages 20 to 44 and have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purposes of our audit.

RESPECTIVE RESPONSIBILITIES OF DIRECTORS AND AUDITORS

As described on page 16, the directors are responsible for the preparation of the financial statements. Our responsibility is to express an opinion on those financial statements based on our audit.

BASIS OF OPINION

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements, assessing the accounting principles used and significant estimates made by the directors, and evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

OPINION

In our opinion, proper books of account have been kept by the bank and the financial statements, which are in agreement therewith, give a true and fair view of the state of affairs of the bank at 31 December 2002 and of its profit and cash flows for the year then ended in accordance with International Financial Reporting Standards and comply with the Companies Act.

Deloitte & Touche
24 February 2003

**Deloitte
Touche
Tohmatsu**

Partners: D.M. Ndonye H. Gadhoke* S.O. Onyango J.W. Wangai G.K. Fonderson**
British* Liberian**

Taarifa ya Wakaguzi

Certified Public Accountants (Kenya)
"Kirungii" Ring Road, Westlands
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Nairobi
Kenya

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Dropping Zone No. 92
E-mail: admin@deloitte.co.ke

**Deloitte
& Touche**

Tumezikagua Taarifa za Hesabu kwenye kurasa za 20 hadi 44 na kuyapata maelezo yote na ufafanuzi ambao, kwa kadiri ya maarifa na kuamini kwetu, yalikuwa muhimu kwa minajili ya ukaguzi wetu.

MAMLAKA BINAFSI YA WAKURUGENZI NA WAKAGUZI

Kama ilivyoelezewa kwenye ukurasa wa 17, Taarifa za Fedha ni wajibu wa wakurugenzi. Wajibu wetu ni kutoa maoni yetu juu ya Taarifa za Fedha kutokana na ukaguzi wetu.

MSINGI WA MAONI

Tulitekeleza ukaguzi wetu kuambatana na Viwango vya Kimataifa vya Ukaguzi. Viwango hivi vinatuhitaji tupange na kutekeleza ukaguzi ili tupate thibitisho linalofaa kwamba Taarifa zenyewe hazina upotofu wowote. Ukaguzi ni pamoja na uchunguzi, kwa msingi ya majaribio, ushahidi unaounga mkono kiasi cha pesa na ufichuo kwenye Taarifa za Fedha, makadirio ya maadili ya uhasibu yaliyotumika na makisio muhimu yaliyofanywa na wakurugenzi, na utathmini jumla wa uwasilishaji wa Taarifa za Fedha. Tunaamini kwamba ukaguzi wetu unatoa msingi wa maoni yetu usio na shaka.

MAONI

Kwa maoni yetu, vitabu sahihi vya uhasibu viliwekwa na Kampuni na Taarifa za Fedha, ambazo zinakubaliana nayo, zinatoa mandhari halisi ya shughuli za Benki kufikia tarehe 31 Desemba 2002 na za Faida na Pesa Taslimu kwa mwaka uliomalizikia tarehe hiyo, na zinakubaliana na Viwango vya Kimataifa vya Uhasibu na Sheria za Kenya za Makampuni.

Deloitte & Touche
24 Februari 2003

**Deloitte
Touche
Tohmatsu**

Partners: D.M. Ndonge H. Gadhoke* S.O. Onyango J.W. Wangai G.K. Fonderson**
British* Liberian**

Maandishi yaliyopo hapa juu ni tafsiri ya kiswahili ya "Taarifa ya Wakaguzi kwa Wenyehisa wa National Industrial Credit Bank Limited" inayoonekana kwenye ukurasa wa 18 wa taarifa hii. Iwapo patatokea ubishi wowote katika ufafanuzi wa Taarifa ya Wakaguzi, tafsiri ya Kiingereza ndiyo itakayo tambulika kama inayofaa.

The text set out above is a Kiswahili translation of the "Report of the Auditors to the members of National Industrial Credit Bank Limited" which appears on page 18 of this report. In the event of any dispute over the interpretation of the Report of the Auditors, the English version shall be the authoritative version.

Income Statement

for the year ended 31 December 2002

		2002	2001
	Note	Sh'000	(Restated) Sh'000
INTEREST INCOME	3	980,606	1,027,699
INTEREST EXPENSE	4	(286,724)	(278,317)
NET INTEREST INCOME		693,882	749,382
Fees and commission income		66,770	50,762
Foreign exchange trading income		19,634	14,267
Other operating income	5	51,208	39,993
OPERATING INCOME		831,494	854,404
Operating expenses	6	(402,996)	(406,967)
Bad and doubtful debts expense	15	(88,274)	(70,397)
PROFIT BEFORE TAXATION		340,224	377,040
TAXATION	8	(111,089)	(119,921)
NET PROFIT FOR THE YEAR		229,135	257,119
		Sh	Sh
EARNINGS PER SHARE - Basic	9	2.78	3.12
- Diluted	9	2.78	3.12
DIVIDENDS PER SHARE	10	2.00	1.60

Balance Sheet

31 December 2002

	Note	2002 Sh'000	2001 (Restated) Sh'000
ASSETS			
Cash and balances with Central Bank of Kenya	11	742,169	860,851
Government securities	12	2,387,374	2,191,972
Deposits and balances due from banking institutions	13	881,135	497,253
Advances to customers	14	4,712,576	4,246,768
Other assets	16	119,560	133,728
Investment in subsidiary companies	17	50,501	50,501
Property and equipment	18	367,986	388,244
Operating lease prepayments	19	8,625	8,750
Intangible assets	20	59,356	18,136
TOTAL ASSETS		9,329,282	8,396,203
LIABILITIES			
Customer deposits	21	6,493,244	5,599,819
Other liabilities		149,935	126,945
Line of credit	22	92,604	172,327
Balances due to banking institutions		-	108
Taxation payable		5,818	1,427
Unclaimed dividends		19,105	16,254
Due to subsidiary company	17	46,991	47,630
Deferred tax liability	23	23,210	30,590
TOTAL LIABILITIES		6,830,907	5,995,100
CAPITAL RESOURCES			
Share capital	24	412,073	412,073
Share premium		299,943	299,943
Revaluation surplus		139,467	138,184
Revenue reserve		1,531,512	1,468,489
Proposed dividend		115,380	82,414
SHAREHOLDERS' FUNDS		2,498,375	2,401,103
TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS		9,329,282	8,396,203

The financial statements on pages 20 to 44 were approved by the board of directors on 24th February 2003 and were signed on its behalf by:

Directors: N Muriuki Mugwandia
M N Davidson
F N Mwanzia

Secretary: L. Murage

Statement of Changes in Equity

for the year ended 31 December 2002

	Note	Share capital Sh'000	Share premium Sh'000	Revaluation surplus Sh'000	Revenue reserve Sh'000	Proposed dividend Sh'000	Total Sh'000
At 1 January 2001 (as previously reported)		412,073	299,943	151,186	1,346,518	86,535	2,296,255
Prior year adjustments	26						
- revaluation surplus on long leasehold land		-	-	(13,231)	-	-	(13,231)
- deferred taxation thereon		-	-	4,819	-	-	4,819
As restated		412,073	299,943	142,774	1,346,518	86,535	2,287,843
Deferred tax adjustment		-	-	3,285	(3,285)	-	-
Net profit for the year		-	-	-	257,119	-	257,119
Final dividend 2000 declared	10	-	-	-	-	(86,535)	(86,535)
Interim dividend 2001 declared	10	-	-	-	(49,449)	-	(49,449)
Proposed final dividend 2001	10	-	-	-	(82,414)	82,414	-
Revaluation deficit		-	-	(7,875)	-	-	(7,875)
At 31 December 2001		412,073	299,943	138,184	1,468,489	82,414	2,401,103
At 1 January 2002 (as previously reported)		412,073	299,943	145,825	1,468,489	82,414	2,408,744
Prior year adjustments	26						
- revaluation surplus on long leasehold land		-	-	(10,392)	-	-	(10,392)
- reversal of amortisation written back		-	-	(1,250)	-	-	(1,250)
- deferred taxation thereon		-	-	4,001	-	-	4,001
As restated		412,073	299,943	138,184	1,468,489	82,414	2,401,103
Deferred tax adjustment		-	-	1,283	(1,283)	-	-
Net profit for the year		-	-	-	229,135	-	229,135
Final dividend 2001 declared	10	-	-	-	-	(82,414)	(82,414)
Interim dividend 2002 declared	10	-	-	-	(49,449)	-	(49,449)
Proposed final dividend 2002	10	-	-	-	(115,380)	115,380	-
At 31 December 2002		412,073	299,943	139,467	1,531,512	115,380	2,498,375

The prior year adjustments relate to the reversal of revaluation surplus on long leasehold land and the related deferred taxation in line with International Accounting Standard No. 17 on Leases.

Cash Flow Statement

for the year ended 31 December 2002

	Note	2002 Sh'000	2001 Sh'000
CASH GENERATED FROM OPERATIONS	25(a)	59,002	888,679
Taxation paid		(114,078)	(83,709)
Net cash (used in)/ generated from operating activities		(55,076)	804,970
INVESTING ACTIVITIES			
Purchase of property and equipment		(22,331)	(10,061)
Purchase of intangible assets		(52,370)	(9,490)
Proceeds on sale of equipment		3,150	827
Net cash used in investing activities		(71,551)	(18,724)
FINANCING ACTIVITIES			
Dividends paid		(129,012)	(132,772)
Net cash used in financing activities		(129,012)	(132,772)
NET (DECREASE)/ INCREASE IN CASH AND CASH EQUIVALENTS		(255,639)	653,474
CASH AND CASH EQUIVALENTS AT 1 JANUARY		3,057,411	2,403,937
CASH AND CASH EQUIVALENTS AT 31 DECEMBER	25(b)	2,801,772	3,057,411

Notes to the Financial Statements

for the year ended 31 December 2002

1 ACCOUNTING POLICIES

The financial statements have been prepared in accordance with International Financial Reporting Standards. The principal accounting policies adopted are set out below.

Basis of accounting

The company prepares its financial statements under the historical cost convention, modified to include the revaluation of certain assets.

Revenue recognition

Interest income includes finance charges earned, interest on loans and advances and premium or discounts on government and other securities and is recognised in the period in which it is earned. Interest income on non-performing loans and advances is suspended and excluded from income until received.

Fees and commission income is recognised at the time of effecting the transaction.

Government securities

Government securities comprise treasury bills and treasury bonds issued by the Government of Kenya. Treasury bills are stated at face value less unearned interest while treasury bonds are stated at cost plus accrued interest.

Investment in subsidiary companies

Investment in subsidiary companies is stated at cost or at directors' valuation.

The results of the subsidiary companies have not been consolidated because, in the directors' opinion, consolidation of these subsidiaries would be of no real value to the members in view of the insignificant amounts involved.

Property and equipment

Property and equipment are stated at cost or as professionally revalued from time to time less accumulated depreciation.

Depreciation is calculated on a straight line basis at annual rates estimated to write off the cost or valuation of property and equipment over their expected useful lives. The rates generally in use are:

Buildings on long leasehold land	20%
Furniture, fittings and equipment	20%
Motor vehicles	20%

Leasehold land

Payments to acquire leasehold interest in land are treated as prepaid operating lease rentals and amortised over the period of the lease.

Bad and doubtful debts

Specific provisions are made against advances when, in the opinion of the directors, recovery is doubtful. In addition, general provisions are maintained based on management's evaluation of the portfolios of hirers' balances, advances, and other exposures in respect of losses which, although not specifically identified, are known from experience to be present in any such portfolio.

Notes to the Financial Statements (continued)

1 ACCOUNTING POLICIES (Continued)

Taxation

Current taxation is provided on the basis of the results for the year, as shown in the financial statements, adjusted in accordance with tax legislation.

Deferred taxation is provided using the liability method for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred taxation.

Foreign currencies

Assets and liabilities in foreign currencies are translated into Kenya shillings at rates of exchange ruling at the balance sheet date. Transactions during the year in foreign currencies are translated at rates ruling at the dates of the transactions. The resulting exchange differences are dealt with in the income statement.

Retirement benefit costs

The bank operates a defined benefit staff pension and life assurance scheme for employees. The assets of this scheme are held in a separate trustee administered fund. The scheme is non contributory and the rate of the bank's contribution is determined by the trustees who take into account the recommendations of independent actuaries. Benefits are paid to retiring staff in accordance with the scheme rules. The cost of providing retirement benefits is assessed using the attained age method by qualified actuaries. It is intended that the scheme is valued every three years; the last valuation was as at 31 December 2000.

Contract staff are entitled to gratuity payment at the completion of the contract. Provision is made for gratuity in line with the contracts.

The bank makes contributions to National Social Security Fund, a statutory defined contribution pension scheme. The bank's obligations under the scheme are limited to specific contributions legislated from time to time and are currently limited to a maximum of Sh 200 per month per employee.

The bank's contributions in respect of retirement benefit costs are charged to the income statement in the year to which they relate.

Computer software development costs

Generally, costs associated with developing computer software programmes are recognised as an expense incurred. However, costs that are clearly associated with an identifiable and unique product which will be controlled by the bank and has a probable benefit exceeding the cost beyond one year, are recognised as an intangible asset.

Expenditure which enhances and extends computer software programmes beyond their original specifications and lives is recognised as a capital improvement and added to the original cost of the software.

Computer software development costs recognised as assets are stated at cost less amortisation. Amortisation is calculated on a straight line basis over the estimated useful lives not exceeding a period of 5 years.

Notes to the Financial Statements (continued)

ACCOUNTING POLICIES (Continued)

Financial Instruments

Financial assets

Financial assets are recognised initially at cost using settlement date accounting. Loans and receivables originated by the bank and held to maturity investments are subsequently measured at amortised cost while financial assets held for trading and available for sale are measured at fair value. Gains or losses on changes in fair value of each category of asset is reported net in the income statement in the year in which it arises. All financial assets are subject to review for impairment at the year end.

Financial liabilities

Financial liabilities are recognised initially at cost, and subsequently measured at amortised cost.

Impairment

At each balance sheet date, the bank reviews the carrying amounts of its financial assets, tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the asset's recoverable amount of the asset is estimated and an impairment loss is recognized in the income statement whenever the carrying amount of the asset exceeds its recoverable amount.

Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee. All other leases are classified as operating leases.

Amounts due from leases under finance leases are recorded as receivables at the amount of the bank's net investment in the leases. Finance lease income is allocated to accounting periods so as to reflect a constant periodic rate of return on the bank's net investment outstanding in respect of the leases.

Rental income from operating leases is recognised on a straight line basis over the terms of the relevant leases.

Rentals payable under operating leases are chargeable to the income statement on a straight line basis over the term of the relevant lease.

Unearned finance charges

The provision for unearned finance charges is calculated on a basis such as to allocate charges earned to the appropriate accounting period using "the rule of 78ths".

Contingent liabilities

Letters of credit, acceptances, guarantees and performance bonds are generally written by the bank to support performance by a customer to third parties. The bank will only be required to meet this obligations in the event of the customer's default. These obligations are accounted for as off balance sheet transactions and disclosed as contingent liabilities.

Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year. In particular, comparative figures have been adjusted for change in presentation to ensure compliance with International Accounting Standard No. 17, Leases.

Notes to the Financial Statements (continued)

2 CENTRAL BANK OF KENYA (AMENDMENT) ACT 2000

During 2001, the Kenya Bankers' Association (KBA), on behalf of its members, filed an application in the Constitutional Court of Kenya challenging the legality of the Central Bank of Kenya (Amendment) Act 2000 (The Act), which had been passed by the Parliament with an effective date of 1 January 2001.

The court delivered its judgement on 24 January 2002 and ruled that The Act is retrospective and therefore inconsistent with the Constitution of Kenya. Following the ruling, various conflicting legal interpretations have been published.

The directors have taken legal advice in conjunction with KBA which confirms that The Act is not operational for the financial year 2002. Accordingly, the directors have prepared these financial statements on the basis of this advice.

	2002 Sh'000	2001 Sh'000
3 INTEREST INCOME		
Finance charges earned	381,584	409,216
Loans and advances	360,526	377,969
Government securities	206,863	209,374
Short term deposits	16,208	18,219
Corporate bonds	15,425	12,921
	980,606	1,027,699
4 INTEREST EXPENSE		
Customer deposits	277,111	258,592
Line of credit	6,692	15,442
Deposits by banks	2,921	4,283
	286,724	278,317
5 OTHER OPERATING INCOME		
Rental income	28,075	24,503
Bad debts recovered	5,737	719
Miscellaneous income	17,396	14,771
	51,208	39,993
6 OPERATING EXPENSES		
Staff costs (note 7)	163,362	180,321
Contribution to Deposit Protection Fund	6,532	5,876
Depreciation	39,750	40,105
Amortisation of operating lease prepayments	125	125
Amortisation of intangible assets	6,450	4,737
Directors' emoluments – Fees	1,850	2,013
– Other	21,104	27,212
Pension to past chairman	1,158	1,125
Auditors' remuneration	1,600	1,600
Operating lease rentals	4,495	4,866
Other expenses	151,870	138,987
Write off of intangible assets	4,700	–
	402,996	406,967

Notes to the Financial Statements (continued)

	2002 Sh'000	2001 Sh'000
7 STAFF COSTS		
Salaries and allowances	151,189	147,873
Pension contributions	2,864	11,734
Gratuity provision	9,010	3,988
NSSF contributions	299	138
Termination benefits	-	16,588
	<u>163,362</u>	<u>180,321</u>

The average number of employees at the bank during the year was 125 (2001 – 125).

	2002 Sh'000	2001 Sh'000
8 TAXATION		
(a) Taxation expense		
Income tax based on the taxable profit for the year at 30%	118,469	124,427
Under provision in prior year	-	1,947
	<u>118,469</u>	<u>126,374</u>
Deferred taxation (note 23)	(7,380)	(6,453)
	<u>111,089</u>	<u>119,921</u>
(b) Reconciliation of tax expense to the expected tax based on accounting profit		
Accounting profit before taxation	340,224	377,040
Tax at the applicable rate of 30%	102,067	113,112
Tax effect of expenses not deductible for tax	9,084	5,001
Tax effect of income not subject to tax	(62)	(139)
Under provision in prior year	-	1,947
	<u>111,089</u>	<u>119,921</u>

9 EARNINGS PER SHARE

Earnings per share is calculated based on the profit after taxation of Sh 229,135,000 (2001 – Sh 257,119,000) and 82,414,551 shares (2001 – 82,414,551) ordinary shares in issue during the year.

Diluted earnings per share is the same as basic earnings per share.

10 DIVIDENDS

At the annual general meeting scheduled for 21 May 2003, a final dividend in respect of 2002 of Sh 1.40 per share (2001 – Sh 1.00 per share) amounting to a total of Sh 115,380,000 (2001 – Sh 82,414,000) is to be proposed. The proposed amount has been provided for in accordance with International Accounting Standard No. 10.

During the year an interim dividend of Sh 0.60 per share amounting to a total of Sh 49,449,000 was declared. The total dividend for the year is therefore Sh 2.00 per share (2001 – Sh 1.60 per share) amounting to a total of Sh 164,829,000 (2001 – Sh 131,863,600).

Payment of dividends to members with shareholding below 12.5% is subject to withholding tax at the rate of 5% for residents and 10% for non-residents.

Notes to the Financial Statements (continued)

	2002 Sh'000	2001 Sh'000
11 CASH AND BALANCES WITH CENTRAL BANK OF KENYA		
Cash on hand	38,287	53,163
Balances with Central Bank of Kenya:		
- Cash ratio requirement	495,236	391,644
- Other	208,646	416,044
	<u>742,169</u>	<u>860,851</u>

The cash ratio requirement is based on the deposits as adjusted by the Central Bank of Kenya requirements. These funds are not available for the day to day operations of the bank.

	2002 Sh'000	2001 Sh'000
12 GOVERNMENT SECURITIES		
(a) Treasury bills		
Maturing within 90 days of the balance sheet date:		
Face value	1,689,400	2,113,500
Less: Unearned discount	(15,696)	(22,441)
	<u>1,673,704</u>	<u>2,091,059</u>
(b) Treasury bonds		
At cost - maturing in 2003	469,200	-
- maturing in 2004	230,800	100,000
Interest receivable	13,670	913
	<u>713,670</u>	<u>100,913</u>
	<u>2,387,374</u>	<u>2,191,972</u>

The weighted average effective interest rate on treasury bills as at 31 December 2002 was 8.4% (2001 - 11.2%) and the rate for treasury bonds was 11.3% (2001 - 11.9%).

	2002 Sh'000	2001 Sh'000
13 DEPOSITS AND BALANCES DUE FROM BANKING INSTITUTIONS		
Balances due from banking institutions	414,348	75,857
Deposits due from banking institutions	466,787	421,396
	<u>881,135</u>	<u>497,253</u>

The weighted average effective interest rate for deposits due from banking institutions as at 31 December, 2002 was 8.6 % (2001 - 5.7%).

Notes to the Financial Statements (continued)

	2002 Sh'000	2001 Sh'000
14 ADVANCES TO CUSTOMERS		
(a) Hirers' balances	2,636,189	2,428,069
Loans and advances to customers	2,911,501	2,676,304
	<u>5,547,690</u>	<u>5,104,373</u>
Commercial paper	84,438	-
Corporate bonds	207,935	138,033
	<u>5,840,063</u>	<u>5,242,406</u>
Unearned finance charges	(332,776)	(293,504)
Provision for bad and doubtful debts (Note 15)	(676,289)	(596,404)
Interest in suspense	(118,422)	(105,730)
	<u>4,712,576</u>	<u>4,246,768</u>
(b) Commercial paper		
Due 6 February, 2003 (US \$ 750,000)	57,750	-
Due 18 February, 2003 (US \$ 350,000)	26,950	-
Less: Unearned discount	(262)	-
	<u>84,438</u>	<u>-</u>

The weighted average effective interest rate on commercial paper as at 31 December 2002 was 3.0%.

	2002 Sh'000	2001 Sh'000
(c) Corporate bonds		
Floating rate note due 2007	100,000	-
Floating rate note due 2006	105,000	135,000
Interest receivable	2,935	3,033
	<u>207,935</u>	<u>138,033</u>

The weighted average effective interest rate on corporate bonds at 31 December 2002 was 9.2% (2001 - 12.2%).

Notes to the Financial Statements (continued)

14 ADVANCES TO CUSTOMERS (continued)

(d) Analysis of gross advances by maturity:

	2002 Sh'000	2001 Sh'000
Maturing within one year	2,316,122	3,995,793
Over one year to three years	2,008,307	1,008,579
Over three years	1,223,261	100,001
	5,547,690	5,104,373

(e) Hire purchase agreements

The bank enters into hire purchase agreements, which are in substance finance leases. At the end of the agreement, the lessee has the option to purchase the asset. These are analysed as follows:

	2002 Sh'000	2001 Sh'000
Not later than 1 year	1,907,366	1,654,085
Later than one year and not later than 5 years	728,823	773,984
Later than 5 years	-	-
	2,636,189	2,428,069

Included in specific provisions for bad and doubtful debts are provisions amounting to Sh 446,422,000 (2001 – Sh 450,400,000) relating to hire purchase agreements.

(f) Analysis of gross advances by industry:

	2002 Sh'000	%	2001 Sh'000	%
Agriculture	593,600	11	169,081	3
Manufacturing	573,360	10	526,709	10
Wholesale and retail	550,027	10	439,578	9
Transport and communication	1,178,636	21	944,700	19
Real estate	127,568	2	68,739	1
Social community and personal services	650,834	12	1,451,459	28
Business services	556,046	10	902,287	18
Other	1,317,619	24	601,820	12
	5,547,690	100	5,104,373	100

The weighted average effective interest rate on loans and advances as at 31 December 2002 was 17.5 % (2001 – 17.4%).

Included in net advances of Sh 4,712,576,000 (2001 – Sh 4,246,768,000) are loans and advances amounting to Sh 346,209,000 (2001 – Sh 430,657,000), net of specific provisions and interest in suspense, which have been classified as non-performing.

Notes to the Financial Statements (continued)

15 PROVISION FOR BAD AND DOUBTFUL DEBTS

	Specific provision Sh'000	General provision Sh'000	2002 Total Sh'000	2001 Total Sh'000
At 1 January	542,296	54,108	596,404	753,201
Provisions in the year	66,462	21,812	88,274	70,397
Written off	(8,389)	-	(8,389)	(227,194)
At 31 December	600,369	75,920	676,289	596,404

16 OTHER ASSETS

	2002 Sh'000	2001 Sh'000
Clearing account	63,502	98,273
Prepayments	7,376	8,876
Other receivables	48,682	26,579
	119,560	133,728

17 INVESTMENT IN SUBSIDIARY COMPANIES

National Industrial Credit Trustees Limited (100% shareholding) – at cost	500	500
Mercantile Finance Company Limited (100% shareholding) – at net asset value	50,000	50,000
The African Mercantile Banking Company Limited (100% shareholding) – at net asset value	1	1
	50,501	50,501

Mercantile Finance Company Limited did not trade during the year. Its activities are limited to the recovery of its non performing debts. The audited financial statements of Mercantile Finance Company Limited show no profit or loss for the year (2001 – profit of Sh nil) and a revenue reserve at 31 December 2002 of Sh nil (2001 – revenue reserve of Sh nil). The investment in this subsidiary is Sh 50,000,000 while the amount due to the subsidiary is Sh 46,991,000 and therefore the net investment in this subsidiary is Sh 3,009,000.

National Industrial Credit Trustees Limited functions in a trustee capacity. The audited financial statements show that the company made no profit or loss for the year (2001 – Sh nil), and the revenue reserve balance was Sh nil (2001 – Sh nil).

The African Mercantile Banking Company Limited did not trade during the year ended 31 December 2002. The audited financial statements show that the company made no profit or loss for the year and the revenue reserve balance was Sh nil (2001 – Sh nil).

The results of the subsidiary companies have not been consolidated because in the directors' opinion, consolidation of these subsidiaries would be of no real value to the members in view of the insignificant amounts involved.

Notes to the Financial Statements (continued)

18. PROPERTY AND EQUIPMENT

	Buildings Sh'000	Furniture, fittings & equipment Sh'000	Motor vehicles Sh'000	Total Sh'000
COST OR VALUATION				
At 1 January 2002 (as previously reported)	320,000	168,836	27,222	516,058
Reclassification of long leasehold land (Note 19)	(20,392)	-	-	(20,392)
As restated	299,608	168,836	27,222	495,666
Additions	-	16,567	5,764	22,331
Disposals	-	(3,207)	(5,727)	(8,934)
At 31 December 2002	299,608	182,196	27,259	509,063
Comprising:				
Cost	-	182,196	27,259	209,455
Valuation - 2001	299,608	-	-	299,608
	299,608	182,196	27,259	509,063
DEPRECIATION				
At 1 January 2002	-	93,609	13,813	107,422
Charge for the year	7,272	27,849	4,629	39,750
Eliminated on disposals	-	(3,032)	(3,063)	(6,095)
At 31 December 2002	7,272	118,426	15,379	141,077
NET BOOK VALUE				
At 31 December 2002	292,336	63,770	11,880	367,986
At 31 December 2001	299,608	75,227	13,409	388,244

To ensure compliance with International Accounting Standard No. 17 on Leases, the cost and accumulated depreciation of leasehold land have been reclassified to operating lease prepayments. The revaluation surplus relating to leasehold land has also been reversed from property and equipment as disclosed in note 19.

Included in motor vehicles and furniture, fittings and equipment are assets with a cost of Sh 51,096,261 (2001 - Sh 36,160,122) which were fully depreciated. The normal depreciation charge on these assets would have been Sh 10,325,923 (2001 - Sh 7,232,024).

Buildings were revalued as at 31 December 2001 by Lloyd Masika, Registered Valuers, on an open market value basis.

At 31 December 2002, the net book value of buildings based on original cost was Sh 125,564,000 (2001 - Sh 128,560,000).

Notes to the Financial Statements (continued)

19 OPERATING LEASE PREPAYMENTS

	Sh'000
COST	
Reclassified from property and equipment (Note 18)	
Carrying amount of leasehold land at 31 December 2001	20,392
Reversal of revaluation surplus	(10,392)
At 31 December 2002 and 31 December 2001 as restated	10,000
AMORTISATION	
At 1 January 2002	-
Reversal of amortisation written back	1,250
At 1 January 2002 as restated	1,250
Amortisation for the year	125
	1,375
At 31 December 2002	8,625
At 31 December 2001	8,750

20 INTANGIBLE ASSETS

	Computer software Sh'000
COST	
At 1 January 2002	42,171
Additions	52,370
Disposals	(28,191)
At 31 December 2002	66,350
AMORTISATION	
At 1 January 2002	24,035
Charge for the year	6,450
Eliminated on disposal	(23,491)
At 31 December 2002	6,994
NET BOOK VALUE	
At 31 December 2002	59,356
At 31 December 2001	18,136

Notes to the Financial Statements (continued)

	2002 Sh'000	2001 Sh'000
21 CUSTOMER DEPOSITS		
Current accounts	959,921	1,035,696
Savings accounts	657,900	467,524
Call deposits	407,641	370,217
Fixed deposits	4,467,782	3,726,382
	<u>6,493,244</u>	<u>5,599,819</u>
Analysis of customer deposits by maturity:		
Payable within 90 days	6,369,493	5,554,005
Payable after 90 days and within one year	122,347	45,714
Payable after one year	1,404	100
	<u>6,493,244</u>	<u>5,599,819</u>

The weighted average effective interest rate on interest bearing customer deposits at 31 December 2002 was 6.1% (2001 – 7.2%).

22 LINE OF CREDIT

The bank has an unsecured revolving medium term line of credit of US\$ 10,000,000 with Agence Francaise De Development/PROPARCO for on-lending to customers. As at 31 December 2002, the draw down was US\$ 1,200,000 (2001 – US\$ 2,187,000).

	2002 Sh'000	2001 Sh'000
Maturity		
Payable within one year	24,844	78,067
Payable after one year and within three years	49,280	50,272
Payable after three years	18,480	43,988
	<u>92,604</u>	<u>172,327</u>

The weighted average effective interest rate on the line of credit as at 31 December 2002 was 3.4% (2001 – 6.4%).

Notes to the Financial Statements (continued)

	2002 Sh'000	2001 Sh'000
23 DEFERRED TAX LIABILITY		
The net deferred tax liability, computed at the enacted rate of 30%, is attributable to the following items:		
Excess depreciation over capital allowances	(4,046)	(4,492)
General provision for bad and doubtful loans and advances	(22,776)	(16,232)
Revaluation surplus	50,032	51,314
	<u>23,210</u>	<u>30,590</u>
Movement in deferred tax liability is as follows:		
At 1 January – as previously reported	34,591	41,862
Reversal of deferred tax relating to revaluation surplus on long leasehold land	(4,001)	(4,819)
As restated	<u>30,590</u>	<u>37,043</u>
Income statement credit – Note 8 (a)	(7,380)	(6,453)
At 31 December	<u>23,210</u>	<u>30,590</u>
24 SHARE CAPITAL		
Authorised, issued and fully paid 82,414,551 ordinary shares of Sh 5 each	<u>412,073</u>	<u>412,073</u>

Notes to the Financial Statements (continued)

25 NOTES TO THE CASH FLOW STATEMENT	2002 Sh'000	2001 Sh'000
(a) Reconciliation of profit before taxation to cash generated from operations		
Profit before taxation	340,224	377,040
Adjustments for:		
Depreciation	39,750	40,105
Amortisation of operating lease prepayments	125	125
Amortisation of intangible assets	6,450	4,737
Profit on sale of equipment	(311)	(649)
Write off of intangible assets	4,700	-
Profit before working capital changes	390,938	421,358
(Increase)/decrease in balances with Central Bank of Kenya (cash ratio requirement)	(103,592)	12,037
Increase in advances to customers	(465,808)	(306,409)
Increase in treasury bonds	(612,757)	(100,913)
Decrease in other assets	14,168	7,189
Increase in customer deposits	893,425	886,072
Increase in other liabilities	22,990	43,377
Decrease in line of credit	(79,723)	(57,471)
Decrease in amount due to subsidiary	(639)	(16,561)
Cash generated from operations	59,002	888,679
(b) Analysis of balances of cash and cash equivalents as shown in the balance sheet and notes		
Cash on hand	38,287	53,163
Balance with Central Bank of Kenya - other	208,646	416,044
Treasury bills	1,673,704	2,091,059
Deposits and balances due from banking institutions	881,135	497,253
Balances due to banking institutions	-	(108)
	2,801,772	3,057,411

For the purposes of the cash flow statement, cash equivalents include short term liquid investments which are readily convertible into known amounts of cash and which were within three months of maturity when acquired, less advances from banks repayable within three months from the dates of the advances.

Notes to the Financial Statements (continued)

26 PRIOR YEAR ADJUSTMENTS

The effect of change in policy on accounting for leasehold land, to ensure compliance with International Accounting Standards No. 17 on leases, has resulted in the reclassification of leasehold land from property and equipment to operating lease prepayments and the reversal of revaluation surplus relating to leasehold land. Amounts reported in 2001 financial statements have been restated as follows:

	As reported at 31 December 2001 Sh'000	Adjustment No.	Adjustment Sh'000	As restated at 31 December 2001 Sh'000
ASSETS				
Property and equipment	408,636	(a)	20,392	388,244
Operating lease prepayments	-	(b)	8,750	8,750
LIABILITIES				
Deferred taxation	34,591	(c)	4,001	30,590
SHAREHOLDERS' FUNDS				
Revaluation reserves	145,825	(d)	7,641	138,184
INCOME STATEMENT				
Taxation charge	123,206	(e)	3,285	119,921

Details of the adjustments.

- a) Transfer of leasehold land to operating lease prepayments.
- b) Un-amortised cost of leasehold land as at 31 December 2001 reclassified from property and equipment.
- c) Reversal of deferred taxation relating to leasehold land.
- d) Reversal of revaluation surplus relating to leasehold land net of deferred taxation
- e) Deferred taxation adjustment relating to leasehold land.

27 CONTINGENT LIABILITIES

	2002 Sh'000	2001 Sh'000
Letters of credit	139,861	102,430
Letters of guarantee and performance bonds	367,197	473,284
Foreign exchange forward contracts	45,413	3,970
	<u>552,471</u>	<u>579,684</u>

Letters of credit are commitments by the bank to make payments to third parties, on production of documents, on behalf of customers and are reimbursed by customers.

Letters of guarantee and performance bonds are issued by the bank, on behalf of customers, to guarantee performance by customers to third parties. The bank will only be required to meet these obligations in the event of default by the customers.

Foreign exchange forward contracts are agreements to buy or sell a specified quantity of foreign currency, usually on a specified future date at an agreed rate.

Notes to the Financial Statements (continued)

	2002 Sh'000	2001 Sh'000
28 CAPITAL COMMITMENTS		
Authorised but not contracted for	4,600	10,000
Authorised and contracted for	30,000	-

The bank has authorised and contracted for the purchase of a new computer software worth Sh 80,000,000. Of this amount, Sh 50,000,000 has been paid for and capitalised. The software was operational at balance sheet date.

29 RETIREMENT BENEFIT OBLIGATIONS

The pension scheme is actuarially valued every three years using the 'attained age method'. The value placed on existing fund assets per the actuarial valuation carried as at 31 December 2000 was Sh 76,254,000 while the total accrued (past service) liabilities was Sh 55,171,000. The scheme therefore has a past service actuarial surplus of Sh 21,083,000. This asset has not been recognised in the financial statements. In accordance with a recommendation by the actuaries, the company is taking a contribution holiday with effect from April 2002. The continuation of the contribution holiday will be assessed on an annual basis by the actuaries.

The principal actuarial assumptions were:

Rate of interest	10%
Rate of salary escalation	8%
Rate of pensions increase	0%

30 SEGMENTAL REPORTING

The major part of the business of the bank falls under the category of banking with other income comprising less than 5% of total income and all the bank's income is derived in Kenya. Segmental reporting is, therefore, not considered of any useful value.

31 OPERATING LEASE ARRANGEMENTS

The bank as a lessor

Rental income earned during the year was Sh 28,075,000 (2001 – Sh 24,503,000). At balance sheet date, the group had contracted with tenants for the following future lease receivables.

	2002 Sh'000	2001 Sh'000
Within one year	23,911	28,075
In the second to fifth year inclusive	95,643	-
After five years	23,911	-
	143,465	28,075

Leases are negotiated for an average term of 6 years and rentals are reviewed every two years. The leases are cancellable with a penalty when the tenants give three months notice to vacate the premises.

Notes to the Financial Statements (continued)

31 OPERATING LEASE ARRANGEMENTS (Continued)

The bank as a lessee

At the balance sheet date, the bank had outstanding commitments under operating leases which fall due as follows:

	2002 Sh'000	2001 Sh'000
Within one year	4,812	4,506
In the second to fifth year inclusive	19,248	-
After five years	4,812	-
	<u>28,872</u>	<u>4,506</u>

Operating lease payments represent rentals payable by the bank for its office premises. Leases are negotiated for an average term of 6 years.

The table below analyses assets and liabilities into relevant maturity groupings based on the remaining period at 31 December 2002 to the contractual maturity date.

	Up to 1 month Sh'000	1 - 3 months Sh'000	4 - 6 months Sh'000	7 - 12 months Sh'000	1 - 3 years Sh'000	4 - 5 years Sh'000	Over 5 years Sh'000	Total Sh'000
ASSETS								
Cash and balances with Central Bank of Kenya	555,087	177,599	4,881	4,494	108	-	-	742,169
Government securities	1,052,573	677,351	-	426,650	230,800	-	-	2,387,374
Deposits and balances due from banking institutions	881,135	-	-	-	-	-	-	881,135
Advances to customers	1,163,532	446,291	671,780	803,437	1,272,043	350,708	4,785	4,712,576
Other assets	119,560	-	-	-	-	-	-	119,560
Investment in subsidiary companies	-	-	-	-	-	-	50,501	50,501
Property and equipment	-	-	-	-	-	-	367,986	367,986
Operating lease prepayments	-	-	-	-	-	-	8,625	8,625
Intangible assets	-	-	-	-	-	-	59,356	59,356
Total assets	3,771,887	1,301,241	676,661	1,234,581	1,502,951	350,708	491,253	9,329,282
LIABILITIES AND SHAREHOLDERS' FUNDS								
Customer deposits	4,051,842	2,317,652	63,702	58,644	1,404	-	-	6,493,244
Other liabilities	149,935	-	-	-	-	-	-	149,935
Line of credit	6,364	-	6,160	12,320	49,280	18,480	-	92,604
Balances due to banking institutions	-	-	-	-	-	-	-	-
Taxation payable	-	-	5,818	-	-	-	-	5,818
Unclaimed dividends	19,105	-	-	-	-	-	-	19,105
Due to subsidiary company	-	-	-	46,991	-	-	-	46,991
Deferred tax liability	-	-	-	-	-	-	23,210	23,210
Shareholders' funds	-	-	-	-	-	-	2,498,375	2,498,375
Total liabilities and shareholders' funds	4,227,246	2,317,652	75,680	117,955	50,684	18,480	2,521,585	9,329,282
Net liquidity gap	(455,359)	(1,016,411)	600,981	1,116,626	1,452,267	332,228	(2,030,332)	-
At 31 December 2001								
Total assets	4,658,727	1,156,634	367,392	535,364	1,076,586	130,045	471,455	8,396,203
Total liabilities and shareholders' funds	2,058,777	3,665,506	41,858	104,009	50,372	43,988	2,431,693	8,396,203
Net liquidity gap	2,599,950	(2,508,872)	325,534	431,355	1,026,214	86,057	(1,960,238)	-

The bank is exposed to various risks associated with the effects of fluctuations in the prevailing levels of market interest rates on its financial position and cash flows. The table below summarises the exposure to interest rate risk. Included in the table are the bank's assets and liabilities at carrying amounts, categorised by the earlier of contractual repricing or maturity dates. The bank does not bear an interest rate risk on off balance sheet items.

ASSETS	Up to 1 month Sh'000	1 - 3 months Sh'000	4 - 6 months Sh'000	7 - 12 Months Sh'000	1 - 3 years Sh'000	Over 3 years Sh'000	Non-interest Bearing Sh'000	Total Sh'000
Cash and balances with Central Bank of Kenya	-	-	-	-	-	-	742,169	742,169
Government securities	1,038,903	677,351	-	426,650	230,800	-	13,670	2,387,374
Deposits and balances due from banking institutions	881,135	-	-	-	-	-	-	881,135
Advances to customers	4,487,726	16,915	15,000	15,000	90,000	85,000	2,935	4,712,576
Other assets	-	-	-	-	-	-	119,560	119,560
Investment in subsidiary companies	-	-	-	-	-	-	50,501	50,501
Property and equipment	-	-	-	-	-	-	367,986	367,986
Operating lease prepayments	-	-	-	-	-	-	8,625	8,625
Intangible assets	-	-	-	-	-	-	59,356	59,356
Total assets	6,407,764	694,266	15,000	441,650	320,800	85,000	1,364,802	9,329,282
LIABILITIES AND SHAREHOLDERS' FUNDS								
Customer deposits	4,051,842	2,317,652	63,702	58,644	1,404	-	-	6,493,244
Other liabilities	-	-	-	-	-	-	149,935	149,935
Line of credit	6,364	-	6,160	12,320	49,280	18,480	-	92,604
Balances due to banking institutions	-	-	-	-	-	-	-	-
Taxation payable	-	-	-	-	-	-	5,818	5,818
Unclaimed dividends	-	-	-	-	-	-	19,105	19,105
Due to subsidiary company	-	-	-	-	-	-	46,991	46,991
Deferred tax liability	-	-	-	-	-	-	23,210	23,210
Shareholders' funds	-	-	-	-	-	-	2,498,375	2,498,375
Total liabilities and shareholders' funds	4,058,206	2,317,652	69,862	70,964	50,684	18,480	2,743,434	9,329,282
Interest rate sensitivity gap	2,349,558	(1,623,386)	(54,862)	370,686	270,116	66,520	(1,378,632)	-
At 31 December 2001								
Total assets	5,824,042	869,976	15,000	15,000	160,000	45,000	1,467,185	8,396,203
Total liabilities and shareholders' funds	1,879,713	3,665,506	41,858	61,983	50,372	43,988	2,652,783	8,396,203
Interest rate sensitivity gap	3,944,329	(2,795,530)	(26,858)	(46,983)	109,628	1,012	(1,185,598)	-

The bank operates wholly within Kenya and its assets and liabilities are reported in the local currency.

The bank's currency risk is managed within the Central Bank of Kenya exposure guideline of 20% core capital. The bank's management monitors foreign currency exposure on a daily basis.

The bank's currency position is as follows:

ASSETS	SH Sh'000	USD Sh'000	GBP Sh'000	EURO Sh'000	OTHERS Sh'000	TOTAL Sh'000
Cash and balances with Central Bank of Kenya	737,774	3,246	423	726	-	742,169
Government securities	2,387,374	-	-	-	-	2,387,374
Deposits and balances due from banking institutions	400,993	352,956	25,693	100,348	1,145	881,135
Advances to customers	4,206,466	506,089	20	1	-	4,712,576
Other assets	107,062	5,217	5,640	1,641	-	119,560
Investment in subsidiary companies	50,501	-	-	-	-	50,501
Property and equipment	367,986	-	-	-	-	367,986
Operating lease prepayments	8,625	-	-	-	-	8,625
Intangible assets	59,356	-	-	-	-	59,356
Total assets	8,326,137	867,508	31,776	102,716	1,145	9,329,282
LIABILITIES AND SHAREHOLDERS' FUNDS						
Customer deposits	5,557,652	799,603	34,650	101,339	-	6,493,244
Other liabilities	146,492	2,849	427	167	-	149,935
Line of credit	-	92,604	-	-	-	92,604
Tax payable	5,818	-	-	-	-	5,818
Unclaimed dividends	19,105	-	-	-	-	19,105
Due to subsidiary company	46,991	-	-	-	-	46,991
Deferred tax liability	23,210	-	-	-	-	23,210
Shareholders' funds	2,498,375	-	-	-	-	2,498,375
Total liabilities and shareholders' funds	8,297,643	895,056	35,077	101,506	-	9,329,282
Net balance sheet position	28,494	(27,548)	(3,301)	1,210	1,145	-

Notes to the Financial Statements (continued)

35. RELATED PARTY TRANSACTIONS

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions.

Placings are made in the bank by directors, their associates and companies associated to directors. Advances to customers at 31 December 2002 include advances and loans to companies associated to directors. Contingent liabilities at 31 December 2002 include guarantees and letters of credit for companies associated to directors.

All transactions with related parties are at arm's length in the normal course of business, and on terms and conditions similar to those applicable to other customers.

Details of related party balances are as follows:

	2002 Sh'000	2001 Sh'000
Advances to customers:		
Companies associated to directors	39,257	19,553
Staff loans and advances	108,436	95,482
	<u>147,693</u>	<u>115,035</u>
These loans are performing and are fully secured.		
Customer deposits:		
Directors, their associates and companies associated to directors	1,909,192	1,798,382
Guarantees and letters of credit:		
Companies associated to directors	<u>58,641</u>	<u>82,697</u>

36. ASSETS PLEDGED AS SECURITY

As at 31 December 2002, there were no assets pledged by the bank to secure liabilities and there were no secured bank liabilities.

37. COUNTRY OF INCORPORATION

The company is incorporated in Kenya under the Companies Act.

38. CURRENCY

The financial statements are presented in Kenya Shillings thousands (Sh'000).

Performance History

YEAR	FINANCE PROVIDED Sh '000	PROFIT BEFORE TAXATION Sh '000	TAXATION Sh '000	DIVIDENDS DECLARED Sh '000	FUNDS RETAINED Sh '000	SHARE HOLDERS' FUNDS Sh '000
1960	15,812	(670)	-	-	(670)	3,330
1970	42,088	5,604	2,190	3,310	1,040	8,970
1980	249,908	25,745	11,788	6,750	7,208	38,150
1990	1,428,641	60,307	26,721	14,063	19,523	131,631
1991	1,600,090	83,580	34,965	17,578	31,037	162,036
1992	1,874,043	132,413	43,394	24,610	64,409	226,445
1993	2,203,193	287,126	101,825	61,523	123,778	420,970
1994	3,276,132	339,616	167,507	61,523	110,586	530,676
1995	4,571,954	545,737	218,950	98,437	228,350	759,026
1996	5,588,952	578,907	226,895	98,877	253,135	1,011,722
1997	5,777,216	590,164	191,603	131,864	266,697	1,707,774
1998	4,752,449	435,558	145,945	115,381	174,232	1,886,614
1999	4,283,161	461,569	160,746	148,346	152,477	2,128,249
2000	3,940,359	451,165	138,576	148,346	164,243	2,296,255
2001	4,246,768	377,040	119,921	131,863	125,256	2,401,103
2002	4,712,576	340,224	111,089	164,829	64,306	2,498,375



The NIC Bank team pose for a photograph after finishing the Operation Smile fund-raising run.

Proxy Form

The Secretary,
National Industrial Credit Bank Limited,
NIC House,
Masaba Road,
P O Box 44599,
Nairobi.

PROXY

I/We _____

of _____

being a member/members of National Industrial Credit Bank Limited, and
entitled to _____

votes hereby appoint _____

of _____

or failing him _____

of _____

as my/our Proxy to vote for me/us on my/our behalf at the Annual General Meeting of the
company to be held on 21 May 2003 and at any adjournment thereof.

As witness my/our hand this _____ day of _____ 2003.

Signature(s) of

NOTE:

In case of a Corporation, the Proxy must be made under its Common Seal.

Wakala - (Ajenti)

Katibu,
National Industrial Credit Bank Limited,
NIC House,
Masaba Road,
P O Box 44599,
Nairobi.

WAKALA

Mimi/Sisi _____

wa anuani hii _____

nikiwa mwanachama/tukiwa wanachama wa National Industrial Credit Bank Limited, na
nikiwa/tukiwa na haki ya kura _____

namchagua/twamchagua _____

wa sanduku la posta _____

na akiwa hatapata nafasi nimechagua/tumechagua _____

wa sanduku la posta _____

akiwa mwakilishi wangu/wetu kunipigia/kutupigia kura kwa niaba yangu/yetu katika Mkutano
wa Mwaka wa Kampuni utakaofanyika tarehe 21 Mei 2003 au tarehe yoyote iwapo mkutano
utahairishwa. Nashuhudia/twashuhudia kwa mkono/mikono wangu/yetu siku hii ya
tarehe _____ mwezi wa _____ 2003.

Sahihi

ELEWA:

Mwakala akiwa anaiwakilisha kampuni yoyote au shirika nilazima atumie muhuri rasmi wa
Kampuni hiyo (Common Seal).

NATIONAL INDUSTRIAL CREDIT BANK LTD
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nic@iconnect.co.ke

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Tel: 229251/2 Fax: 338721

NIC House Branch
P. O. Box 44599, 00100 Nairobi
Tel: 2888000 Fax: 2888512

Harbour House Branch
P. O. Box 99793, 80107 Mombasa
Tel: 223215/223253 Fax: 223255